

EDITION 6 · 28 DAYS TO SUBMISSION · TUESDAY 12 AUGUST 2026

Compliant, and Not Deductible

Compliance sends the money to a bank.

The Tax Act decides whether the money counts.

REGULATIONS-COMPLIANT. NON-DEDUCTIBLE. SAME DAY.

EXECUTIVE SNAPSHOT

Section 86 of the Nigeria Tax Act 2025 reads over the Petroleum Industry Act and over the Regulations that operationalise it. It says that provisions for the Decommissioning and Abandonment Fund are not deductible for tax purposes unless at least thirty percent of the Fund sits in an accredited Nigerian bank, in escrow. The Regulations, at Regulation 19(5), permit International Oil Company Joint-Venture arrangements to hold as little as fifteen percent in a Nigerian institution. And the accreditation of Nigerian banks under section 86, jointly determined by the Central Bank of Nigeria and the Nigeria Revenue Service, has not been issued. A Fund can be Regulations-compliant on 9 September, and non-deductible on the same day.

INTELLIGENCE BRIEF

Two instruments now govern the same money.

The Petroleum Industry (Decommissioning and Abandonment Fund) Regulations, S.I. 15 of 2026, tell operators where the Fund sits. A non-affiliate financial institution. In escrow accessible by the Commission or the Authority. For International Oil Company Joint-Venture arrangements, Regulation 19(5) sets a floor: at least fifteen percent of the annual contribution must sit in a Nigerian institution. That is the compliance test.

The Nigeria Tax Act 2025, section 86, tells operators whether that contribution counts against taxable income. The default is that it does not. The exception is narrow and specific: at least thirty percent of the Fund must sit with a Nigerian bank in escrow, and that bank must be accredited under criteria determined by the Central Bank of Nigeria in collaboration with the Nigeria Revenue Service. That is the deductibility gate.

Nothing joins the two. An International Oil Company holding fifteen percent in a Nigerian institution is Regulations-compliant. It is not yet through the tax gate. An operator that raises the Nigerian holding to thirty percent is closer, but still cannot deduct unless the receiving bank has been accredited under paragraph (b) of section 86.

Paragraph (b) has not been operationalised. In July 2026 the Nigerian Midstream and Downstream Petroleum Regulatory Authority convened a stakeholder engagement with the Central Bank of Nigeria, the Office of the Accountant-General of the Federation, and the Nigeria Revenue Service, to review the framework. No accreditation criteria followed.

Section 86 is therefore on the statute book, and inoperative in the field. The deduction it permits cannot be secured today, regardless of where the Fund sits.

WHAT THE LAW NOW REQUIRES

1. Regulation 19(5), the compliance floor. For International Oil Company Joint-Venture arrangements, at least fifteen percent of the annual contribution to the Fund must sit in a Nigerian institution. A floor, not a ceiling.

2. Petroleum Industry Act, section 233(1), the affiliate rule. The Fund is held by a financial institution that is not an affiliate of the licensee or lessee, in escrow accessible by the Commission or the Authority. Nationality is not required at this layer.

3. Nigeria Tax Act 2025, section 86, the deductibility gate. No deduction unless (a) at least thirty percent of the Fund sits with a Nigerian bank in escrow accessible by the Commission or the Authority, and (b) that bank is accredited by the Central Bank of Nigeria in collaboration with the Nigeria Revenue Service.

THE BOARDROOM QUESTION

Where does our Decommissioning and Abandonment Fund sit today, what percentage sits in a Nigerian bank, and can we prove that bank is accredited?

EXECUTIVE DASHBOARD

Indicator	Position
Fund custodian named	
Custodian is a non-affiliate (PIA s.233(1))	
Nigerian-institution holding (Reg 19(5) floor: 15%)	
Nigerian-bank holding (NTA s.86(a) floor: 30%)	
Custodian bank accredited (NTA s.86(b))	<i>Not yet possible</i>
Deduction position on the annual contribution	

WHERE THE DEDUCTION IS LOST

The affiliate trap. The Fund sits with a foreign parent's captive treasury or affiliated financial arm. It fails PIA section 233(1) before any tax question is reached. Common in older International Oil Company structures.

The nationality trap. The Fund complies with section 233(1) but is held offshore. Section 86(a) requires a Nigerian bank for deductibility. The deduction disappears.

The threshold trap. Regulation 19(5) permits fifteen percent in a Nigerian institution. Section 86 requires thirty percent in a Nigerian bank. Sitting at fifteen clears the compliance test and fails the tax test.

The accreditation trap. At thirty percent, or at one hundred, the deduction is still blocked if the receiving Nigerian bank has not been accredited under paragraph (b). No accreditation regime has been issued.

The two-desk trap. The compliance filing goes to the Commission. The tax return goes to the Nigeria Revenue Service. Neither cross-references the other. The deduction is claimed on the presumption that compliance handles it. It does not.

STRATEGIC IMPLICATION

Compliance is now a two-desk problem. The plan gets filed on 9 September to the Commission. The deduction gets defended in the tax return, and it will not be defended by anything the plan contains. Operators who assume the two conversations happen in the same room will lose the deduction by default. Until the accreditation regime is issued, the honest position is that section 86 grants a deduction that cannot yet be claimed. The strategic move is to document the position, reserve against it, and file both papers with each other in mind.

THIS WEEK

Pull custody records for the Fund. Name every institution and its nationality.

Calculate the Nigerian-bank holding as a percentage of the annual contribution, distinct from the broader Nigerian-institution figure.

Ask the tax adviser what she is claiming as a deduction against this year's contribution, and on what statutory basis.

REGULATION WATCH

The accreditation criteria required by section 86(b) of the Nigeria Tax Act 2025 have not been issued. The most recent public step is a stakeholder engagement convened in July 2026 by the Nigerian Midstream and Downstream Petroleum Regulatory Authority with the Central Bank of Nigeria, the Office of the Accountant-General of the Federation, and the Nigeria Revenue Service. The engagement reviewed the framework and closed without publishing criteria. Until criteria are issued, paragraph (b) is inoperative and the deduction it conditions cannot be secured, regardless of where Fund monies sit.

DAY ZERO INSIGHT

A Fund can sit in the right place, and still be the wrong asset for the balance sheet.

The Tax Act does not read the compliance filing. It reads the bank statement.

File both papers with each other in mind, or file them for two different desks.

EXECUTIVE CHECKLIST

- Current Fund custody documented with institution names and nationalities.
- Nigerian-institution holding percentage recorded for each Joint-Venture.
- Nigerian-bank holding percentage recorded, separate from the Nigerian-institution figure.
- Bank accreditation status confirmed in writing, or marked pending where not.
- Tax return position on the annual contribution documented, with the statutory basis stated.
- Board minute recording the current position and the exposure to section 86 disallowance.

LOOKING AHEAD

Edition 7 returns to the cost estimate. What the Regulations require the estimate to cover, and what most estimates cover but few price.